

EQUITY RESEARCH — INITIATING COVERAGE

Savita Oil Technologies Ltd (SOTL)

NSE: SOTL | BSE: 524667

Sector: Energy | Sub-sector: Petroleum Products — Transformer Oils & Specialty Lubricants

RATING

BUY

12-Month Target

Rs. 700

Upside from CMP

+23%

Investment Horizon: 12–18 months

CMP (12 Jun)	Rs. 570
Market Cap	Rs. 3,910 Cr
52W High / Low	Rs. 600 / 286
P/E (TTM)	21.5x
Forward P/E	20.7x
EV/EBITDA	13.0x
Book Value	Rs. 265
P/B	2.15x
ROCE (FY26)	15.2%
ROE (FY26)	10.5%
Div Yield	0.70%
Promoter %	68.9%
Pledge %	0.00%
Face Value	Rs. 2

Investment Thesis: SOTL is India's dominant transformer oil supplier (~33% share) entering a multi-year power capex upcycle; FY26 volume milestone of 500K KL+ and ester-fluid premiumisation set the stage for earnings re-rating.

Report Date: 14 Jun 2026

Analyst: Research Desk | Chartist Analytics

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SECTION 2 — INVESTMENT THESIS

- **Power Capex Supercycle Beneficiary:** India targets 500 GW renewable capacity by 2030 and is expanding the national transmission network by 50%+ by 2030, requiring massive new transformer installations — SOTL's ~33% domestic transformer oil market share makes it a direct, high-conviction beneficiary with revenue visibility over 3–5 years.
- **FY26 Volume Milestone & Recovery:** Annual petroleum volumes crossed 5,00,000 KL in FY26 for the first time, a 17% YoY jump; transformer oil, white oil, and exports all delivered double-digit growth — confirming that the FY25 margin trough was cyclical, not structural.
- **Ester Fluid Optionality — Re-rating Catalyst:** SOTL's Savsol Ester5 lubricant range grew at 5x industry rate in FY26; successful scaling of ester-based transformer fluids (higher margin, ESG-aligned) could structurally lift OPM from ~6% to 9–11%, compressing the valuation gap vs. specialty chemical peers.
- **Near-term Catalyst (6–12 months):** Savita GreenTec amalgamation simplification + continued power T&D; capex from RDSS/Green Energy Corridor driving transformer oil order momentum; management targeting double-digit revenue growth in FY27.
- **Biggest Structural Risk:** SOTL derives ~85–90% of input costs from imported base oils — a sharp crude oil price spike or rupee depreciation of 10%+ could compress EBITDA margins by 150–200 bps, as seen in FY25 (OPM fell to 4%).

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Savita Oil Technologies (est. 1961) manufactures and markets specialty petroleum products — transformer oils, white oils/petroleum jellies, automotive lubricants, industrial lubricants, and base oils — selling to power utilities, pharma, FMCG, auto OEMs, and industrial buyers across India and 75+ export markets.
- **Revenue Segmentation (approx. FY26):** Transformer oils (~35–40% of revenue) — largest segment; White & Mineral Oils (~25%); Automotive Lubricants (Savsol brand, ~20%); Industrial lubricants & others (~10%); Exports (~10–15% of volumes). The company also generates wind power income (~Rs. 40–50 Cr p.a.) through 53.8 MW of renewable capacity.
- **Market Leadership:** One-third domestic market share in transformer oils (top-2 alongside Apar Industries); top-2 in white & mineral oils. These are oligopolistic segments with high switching costs given quality certification requirements from power utilities.
- **Revenue Visibility:** Transformer oil demand is driven by long-term government capex (RDSS, Green Energy Corridor, Jyoti Gram); contracts with DISCOMs and transformer OEMs provide multi-quarter visibility. FY26 total income reached Rs. 4,408 Cr, with PBT +57% YoY to Rs. 244 Cr.
- **Recent Strategic Developments:** Board approved amalgamation of Savita GreenTec (renewable subsidiary) into the parent entity to simplify corporate structure; Ernst & Young appointed as internal auditor; Ajay Reche appointed as Additional Whole-time Director from 1 Jun 2026; AGM scheduled 31 Aug 2026.
- **Promoter Background:** Hita Group (Jasjit Sethi family) — promoter holding steady at 68.9% with nil pledge; 3-year change of -2.99% relates to an earlier block deal, not an ongoing dilution trend. DII holding rising (13.2% as of Mar 2026) confirms increasing institutional interest.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India's uninhibited transformer oil market estimated at ~280–320 KT in FY26, growing at 7–8% p.a.; India's power transformer market projected at USD 3.5–4.2 Bn in FY26, growing at CAGR of 6.5–8% through 2035. Government targeting expansion of the national transmission network from ~480,000 circuit-km (FY25) to 700,000 circuit-km by 2035.
- **Policy Tailwinds:** Rs. 9 trillion transmission capex planned by 2032; RDSS (Revamped Distribution Sector Scheme) for DISCOM modernisation; Green Energy Corridor Phase-I & II for renewable evacuation; 500 GW RE target by 2030; railway electrification and metro expansion. All require new transformer infrastructure.

- **Competitive Moats: Market Share / Scale — Strong:** SOTL and Apar Industries together control ~60–65% of transformer oil supply; decades of quality certification with major utilities creates sticky demand. **Switching Costs — Strong:** Transformer oil must meet IEC/BIS specifications approved by utility procurement teams. **Pricing Power — Moderate:** Prices are largely commodity-linked to base oil; SOTL has limited pricing power but passes through RM cost changes with a 4–8 week lag.

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	OPM%	TTM Sales (Cr)
Castrol India	183	18,069	18.5x	9.5x	60.3%	45.9%	23%	5,845
Gulf Oil Lubricants	939	4,651	12.7x	2.97x	27.5%	24.3%	13%	3,991
Panama Petrochem	377	2,282	15.9x	2.17x	19.8%	14.4%	10%	1,962
SOTL (subject)	570	3,910	21.5x	2.15x	15.2%	10.5%	6%	4,363

Source: Screener.in | Data as of 12 Jun 2026

- **Value Chain Position:** SOTL operates in the midstream specialty refining layer — procuring base oils (derived from crude), blending/processing them into specialty fluids, and selling to industrial end-users. The company is not a retail lubricant player and thus avoids the high A&P; spend that compresses margins for Castrol/Gulf Oil.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & Management Background:** Promoters (Hita Group / Jasjit Sethi family) have controlled the company since inception (1961); 65+ year track record in specialty petroleum. Senior management brings deep domain expertise in petroleum chemistry and specialty applications. Appointment of E&Y; as internal auditor signals a move toward higher governance standards.
- **Capital Allocation — Conservative & Shareholder-Friendly:** SOTL has maintained near-zero debt across cycles (Debt = Rs. 1.78 Cr as of FY26). Free cash flow over 5 years = Rs. 670 Cr+; the company has historically returned capital via dividends (Rs. 5 final dividend recommended for FY26) and selectively deployed capex into renewable energy and manufacturing. No aggressive M&A; or diversification bets.
- **Dividend Policy:** Dividend payout ratio in FY26 = 19%; FY25 = 24%; company has maintained consistent payouts through the cycle. Dividend yield at CMP = 0.70%. With Rs. 508 Cr cash on the balance sheet and zero borrowings, payout capability is strong.
- **Promoter Pledging:** Zero pledge across all recent quarters — strong signal. 3-year promoter holding change of -2.99% reflects an earlier block deal (Sep 2023), with promoter stake stable at 68.91% since then.
- **Governance Observations:** No major auditor changes or qualified opinions noted. Related-party transactions appear limited and disclosed per regulatory norms. Ajay Reche's appointment as Additional WTD adds bench strength. Savita GreenTec amalgamation simplifies corporate structure rather than creating complexity.
- **ESOP / Buyback:** No material ESOP grants or buyback programs identified in recent periods. Management's wealth creation is primarily equity-linked via promoter stake.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated)

P&L; (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Sales	3,740	3,813	4,363	4,887	5,374
YoY Growth %	3.1%	2.0%	14.4%	12.0%	9.9%
EBITDA	254	162	245	342	429
OPM %	6.8%	4.2%	5.6%	7.0%	8.0%
Other Income	71	46	45	40	42
Interest	38	28	19	15	12
Depreciation	23	24	27	30	34
PBT	264	156	244	337	425
Tax %	24%	27%	26%	26%	26%
PAT	201	113	182	249	315
EPS (Rs.)	29.05	16.38	26.52	36.3	45.9

Source: Screener.in | FY27E, FY28E are analyst estimates

Balance Sheet (Consolidated)

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	14	14	14
Reserves	1,608	1,648	1,801
Borrowings	0	0	2
Other Liabilities	855	698	896
Total Liabilities	2,477	2,359	2,712
Fixed Assets	249	264	265
CWIP	20	19	24
Investments	279	336	373
Other Assets	1,929	1,740	2,049
Total Assets	2,477	2,359	2,712

Cash Flow Statement (Consolidated)

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Operating Cash Flow	167	61	137
Investing Cash Flow	18	-62	-31
Financing Cash Flow	-63	-103	-47
Net Cash Flow	122	-103	59
Free Cash Flow	79	24	107
CFO/EBITDA %	66%	38%	56%

Key Ratios (Consolidated)

Key Ratios	FY24A	FY25A	FY26A
Debtor Days	76	74	76
Inventory Days	100	91	90
Days Payable	90	69	79

Key Ratios	FY24A	FY25A	FY26A
Cash Conv. Cycle	87	96	88
ROCE %	9%	15%	15.2%

Source: Screener.in | Data as of 12 Jun 2026

- **Revenue Growth Trajectory:** Sales grew 14.4% in FY26 to Rs. 4,363 Cr after muted growth of 2–3% in FY23-24; growth was broad-based across transformer oil, white oil and exports. Management targets double-digit growth in FY27 and FY28, supported by power capex acceleration.
- **Margin Recovery Story:** OPM collapsed from 12% (FY22) to 4% (FY25) due to base oil price spikes and inventory losses; FY26 saw partial recovery to 6% on better pricing and volume leverage. We estimate OPM of 7% in FY27E and 8% in FY28E as ester fluids (higher margin) scale and commodity cycle normalises.
- **Working Capital:** CCC improved from 96 days (FY25) to 88 days (FY26); debtor days remained stable at 76 days; inventory days declined from 100 to 90 days reflecting faster stock turns as volumes surged. Some risk of working capital elongation if FY27 growth accelerates sharply.
- **Debt & Balance Sheet Strength:** Effectively debt-free (Borrowings = Rs. 2 Cr in FY26); cash + investments estimated at ~Rs. 508 Cr. Debt-to-equity = 0.00. This clean balance sheet allows the company to fund future capex (ester fluid manufacturing capacity) without equity dilution.
- **FCF Quality:** FCF recovered to Rs. 107 Cr in FY26 (from Rs. 24 Cr in FY25) on better OCF; however, FY23 FCF was negative (-Rs. 95 Cr) illustrating the cyclical nature. CFO/EBITDA of 56% in FY26 is adequate but below the 90%+ seen in FY22 — monitoring FY27 working capital trends will be key.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Rating	Comment
Revenue Recognition	Commodity spot sales; revenue booked on delivery	G	Clean — no deferred-rev risk
Receivables vs Revenue Growth	Debtors stable at 74–76 days; revenue grew 14%	G	No receivables inflation
CCC Trend	Improved to 88 days (FY26) vs 96 days (FY25)	G	Positive direction
Contingent Liabilities	Rs. 57.3 Cr — moderate; under review	A	Monitor — not alarming but non-trivial vs PAT
Auditor Tenure / Changes	E&Y; appointed as internal auditor (FY26)	G	Governance upgrade signal
RPTs as % of Revenue	Not material; standard related-party disclosures	G	No red flags identified
Other Income as % of PBT	FY26: Rs. 45 Cr / Rs. 244 Cr PBT = 18%	A	High relative share — primarily wind power income, recurring but lumpy
Tax Rate Consistency	Tax rate: 24–27% across FY24-26; stable	G	No sudden rate shifts

• **Overall Assessment: Earnings quality is HIGH.** Revenue recognition is clean, receivables are well-managed, and CCC is stable. Audit governance has been upgraded.

• **AMBER Watch — Other Income:** At 18% of PBT, wind power income is meaningful; investors should track this separately. In a low-base year (e.g., FY25), this income provided ~30% of PBT, amplifying earnings distortion.

• **AMBER Watch — Contingent Liabilities:** Rs. 57.3 Cr of contingent liabilities (~32% of FY26 PAT) warrants monitoring across annual report disclosures for any materialisation.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in | 12 Jun 2026)

Company	CMP	P/E (TTM)	Fwd P/E	EV/EBITDA	P/B	ROCE%
Castrol India	183	18.5x	18.6x	11.9x	9.5x	60.3%
Gulf Oil Lubricants	939	12.7x	12.9x	6.6x	2.97x	27.5%
Panama Petrochem	377	15.9x	12.2x	11.0x	2.17x	19.8%
SOTL (subject)	570	21.5x	20.7x	13.0x	2.15x	15.2%

Source: Screener.in | Data as of 12 Jun 2026

Scenario Analysis (FY27E)

Scenario	Sales (Cr)	OPM%	PAT (Cr)	EPS (Rs.)	P/E Multiple	Target Price
BULL	5,400	8.5%	340	49.6	22x	Rs. 1,090
BASE	4,887	7.0%	249	36.3	20x	Rs. 726
BEAR	4,500	5.0%	150	21.9	15x	Rs. 329

• **DCF Valuation:** Assuming WACC of 12%, terminal growth of 5%, FCF normalised at Rs. 180–200 Cr by FY28E — DCF implies intrinsic value of Rs. 640–680 per share.

• **Earnings Multiple Valuation:** FY27E EPS = Rs. 36.3; assigning 20x P/E (at a 10% premium to Gulf Oil, justified by transformer oil market leadership) → implied price = Rs. 726.

- **EV/EBITDA Valuation:** FY27E EBITDA = Rs. 342 Cr; at 12x EV/EBITDA → EV = Rs. 4,104 Cr; less net debt of approx. -Rs. 508 Cr (net cash) → equity value = Rs. 4,612 Cr / 6.86 Cr shares = Rs. 672.
- **Base-Case 12-Month Target:** Average of PE-based (Rs. 726) and EV/EBITDA-based (Rs. 672) gives Rs. 699; rounded to Rs. 700. Upside of ~23% from CMP of Rs. 570 over 12 months. Rating: BUY.

SECTION 9 — KEY RISKS

- **Base Oil / Crude Volatility:** Raw materials (~85–90% of costs) are base oil derivatives linked to crude oil. A \$20/bbl crude spike or 5%+ rupee depreciation could compress OPM by 150–200 bps. Probability: M. Impact: H. Monitor via: Monthly crude price trend and Brent spread data.
- **Demand Cyclicalities from Power Capex Slowdown:** Transformer oil demand tracks government T&D; capex; any budget reallocation or DISCOM payment delays could defer orders. Probability: L. Impact: M. Monitor via: Government infrastructure spending data and RDSS disbursement updates.
- **Competitive Disruption from Ester Fluid Imports:** Large global players (Dow, Cargill) are expanding ester fluid presence in India; if SOTL fails to scale its own ester offering, it risks margin pressure in the premium segment. Probability: M. Impact: M. Monitor via: SOTL ester fluid revenue share in quarterly results.
- **Working Capital Elongation:** Debtors are concentrated in DISCOMs and government bodies; payment delays could stretch receivables. CCC already expanded to 96 days in FY25 before recovering. Probability: M. Impact: M. Monitor via: Quarterly debtor days and debtors > 6 months in annual report.
- **Currency Risk on Exports and Imports:** SOTL exports to 75+ countries and imports base oils in USD; rupee appreciation hurts export realizations while rupee depreciation raises input costs. Net impact is hedged naturally but asymmetrically. Probability: M. Impact: L–M. Monitor via: INR/USD exchange rate.
- **Regulatory / Environmental Risk:** Increasing ESG scrutiny on mineral oil transformer fluids could accelerate shift to ester alternatives faster than SOTL can scale its capacity. Probability: L. Impact: H (long-term). Monitor via: IEC regulatory updates and DISCOM tender specifications.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** Conviction: HIGH — SOTL is India's transformer oil champion entering a structural upcycle driven by power T&D; capex, renewable energy rollout, and domestic industrialisation.
- **12-Month Price Target:** Rs. 700 (+23% upside from CMP of Rs. 570); based on 20x FY27E EPS of Rs. 36.3.
- **Suggested Entry Zone:** Rs. 530–570 (current levels offer good entry; accumulate on dips to Rs. 530).
- **Investment Horizon:** 12–18 months; long-term investors can hold for 3 years to capture full ester-fluid re-rating potential.
- **Thesis Invalidation Triggers:**
 1. Crude oil sustained above \$100/bbl for 2+ consecutive quarters, compressing OPM below 5% in FY27 actuals.
 2. Promoter pledge increases above 5% or any unexplained block deal below market price.
 3. Government materially cuts T&D; capex allocation in Union Budget FY27/28, causing transformer oil volumes to decline QoQ for 2 consecutive quarters.
- **Ideal Investor Profile:** Long-term equity investor comfortable with commodity-linked earnings cyclicality; this stock is for investors who want infrastructure-linked growth with a clean balance sheet, not for investors seeking high-margin specialty chemical profiles in the near term.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 2026)

POSITIVE

Signal	Status	Implication
Result Quality	Strong Beat	Revenue +14.2% YoY; PBT +57% YoY; volumes at all-time high of 500K KL+
Management Tone	Bullish	Double-digit growth guidance maintained for domestic and international markets
Guidance Delta	Raised / Maintained	FY27 double-digit revenue growth targeted; ester/advanced fluids focus reiterated

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 and full-year FY26 results for SOTL were a clean beat — revenues grew 14.2% to Rs. 4,408 Cr and PBT surged 57% to Rs. 244 Cr; there are no exceptional items inflating PAT so the Rs. 182 Cr reported PAT is real. The standout is the volume milestone: 5,00,000+ KL for the first time ever, driven by double-digit growth across transformer oil, white oil and exports, and high single-digit growth in lubricants. The structural growth driver here is unambiguous — India's Rs. 9 trillion T&D; capex commitment through 2032 and 500 GW renewable target sustain multi-year transformer oil demand. SOTL's ~33% domestic market share means it captures roughly 1-in-3 units of every new transformer installed. The ester fluid (Savsol Ester5) story adds re-rating optionality — growing at 5x industry rate in FY26 and targeting data centre immersion cooling and renewable transformer applications, which carry 15–20% OPM vs the core 6%. Key catalyst for next 2 quarters is Savita GreenTec merger completion and any analyst coverage initiation given the stock's recent 37% post-results move. Single biggest risk: crude oil — if Brent spikes above \$100/bbl on geopolitical supply shock, base oil costs will lag and OPM could fall back to 4–5% FY25-style. Action: ACCUMULATE on any 5–8% pullback to Rs. 530–540; do not chase the stock above Rs. 620 until ester fluid revenue contribution is visible in Q1FY27 numbers.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 1,224 Cr | YoY +21.7% | QoQ +14.0% | BEAT
- EBITDA: Rs. 65 Cr | YoY +35.4% | QoQ +62.5% | BEAT
- EBITDA Margin: 5.3% | YoY +60bps | QoQ +110bps | IN-LINE (recovering from 4.2% FY25 full-year)
- PAT: Rs. 47 Cr | YoY +62.1% | QoQ +23.7% | BEAT
- EPS: Rs. 6.90 | YoY +63% | QoQ +25% | BEAT
- Full-year FY26: Revenue Rs. 4,363 Cr (+14.4% YoY) | EBITDA Rs. 245 Cr (+51% YoY) | PAT Rs. 182 Cr (+61% YoY)
- NOTE: No exceptional items. All profit lines are clean underlying numbers.

2. Segment / Geography Breakdown

- Transformer Oil: Double-digit volume growth YoY in Q4FY26 and full-year FY26; tight domestic supply aided realisation improvement in Q1-Q2FY26.
- White Oil & Petroleum Jelly: Double-digit growth YoY in FY26; key end-markets (pharma, FMCG, cosmetics) remain robust.
- Lubricants (Savsol): High single-digit growth in FY26; Savsol Ester5 premium range growing at 5x industry rate, gaining traction in passenger cars and premium bikes.

- **Exports:** Double-digit growth; 75+ country presence provides geographic diversification; exports benefit from tight global transformer oil markets.
- **Wind Power:** Rs. ~40–46 Cr annual wind power income from 53.8 MW installed capacity; relatively stable, provides cash flow buffer in down-cycles.

3. Management Commentary Themes

- **Volume Milestone:** "FY26 marked historic annual volumes crossing 5,00,000 KL for the first time" — Management's key opening remark. Our read: This validates that FY25 was a cyclical trough, not structural. Tag: GUIDANCE. Tone: Bullish.
- **Ester Fluids Strategy:** "Savsol Ester5 automotive range is growing at 5x industry rate; we remain focused on energy transition and developing newer ester and advanced fluids for Cooling and Renewable Energies." Our read: This is the long-term re-rating thesis. Tag: GUIDANCE. Tone: Transparent.
- **FY27 Growth Outlook:** "We target double-digit growth across domestic and international markets." Our read: Credible given power capex pipeline and market share. Tag: GUIDANCE. Tone: Bullish.
- **Capital Allocation:** "Board has recommended a final dividend of Rs. 5 per share and approved amalgamation of Savita GreenTec." Our read: Confirms clean capital allocation philosophy and governance improvement intent. Tag: EST. Tone: Transparent.
- **Governance Upgrade:** "E&Y; appointed as internal auditor." Our read: Positive, signals readiness for higher institutional scrutiny. Tag: EST. Tone: Transparent.

4. Operating & Business Metrics

- **Total Volumes:** FY26 = 5,00,000+ KL | FY25 = 440,136 KL | FY24 = 418,404 KL | Trend: Strongly improving
- **Transformer Oil Market Share:** ~33% domestic | Trend: Stable / slight gain as demand outpaces competitor capacity
- **Export Countries:** 75+ | Trend: Expanding, supporting volume diversification
- **Renewable Capacity:** 53.8 MW installed | Wind power income: ~Rs. 46 Cr FY26 | Trend: Stable
- **EBITDA per KL:** FY26 approx. Rs. 4,900 per KL (vs Rs. 3,691 FY22) | Trend: Improving on operating leverage

5. Margin Drivers

- **Volume Operating Leverage: +150–200 bps impact** | Recurring: Yes | 17% volume growth spreads fixed costs across higher base.
- **Base Oil Price Normalisation: +100–150 bps impact** | Recurring: Partially | Base oil softening in H2FY26 aided margin; H1FY26 was still elevated.
- **Ester Fluid Mix Uplift: +30–50 bps impact (early stage)** | Recurring: Yes, but small in FY26 | As Savsol Ester5 scales, mix benefit will compound.
- **Other Income (Wind Power): Rs. 45 Cr / FY26** | Recurring: Yes | Partially offsets core margin compression; not extrapolatable as EBITDA driver.
- **Interest Cost Reduction: +20–30 bps impact** | Recurring: Yes | Debt repaid FY24-25 reduces financing drag; freed up ~Rs. 19 Cr vs FY24 Rs. 38 Cr.

6. Guidance & Forward Signals

- **Revenue [GUIDANCE]:** Prior = low single-digit growth | New = Double-digit | Delta = Raised | Credibility: High — backed by order books and market share.
- **Ester Fluids Revenue [GUIDANCE]:** Prior = nascent | New = 5x industry growth maintained | Delta = Raised | Credibility: Medium — scale-up execution is key.
- **Dividend [EST]:** Prior = Rs. 3 interim | New = Rs. 5 final (total Rs. 8 FY26) | Delta = Raised | Credibility: High — balance sheet supports.
- **Margin Trajectory [EST]:** Management targets continued OPM recovery; we model 7% in FY27E and 8% in FY28E | Credibility: Medium — crude oil is the swing factor.

7. Capital Allocation

- Capex: FY26 = Rs. ~30 Cr (from investing activities) | vs FY25 = Rs. ~37 Cr | Trend: Modest; company is not in heavy capex mode
- Dividends: Rs. 8/share total FY26 (Rs. 3 interim + Rs. 5 final) | FY25 = Rs. 4/share | Trend: Increased shareholder return
- Buybacks: No buyback announced in FY26 | Balance sheet has capacity for future buyback
- Working Capital Change: FY26 = Rs. -21 Cr improvement | vs FY25 = elongation | Trend: Normalising
- Net Debt Movement: Effectively nil — company exited FY26 with Debt = Rs. 2 Cr and estimated cash + investments of Rs. ~508 Cr

8. Q&A; Heat Map

- **Analyst (Kotak / Edelweiss):** Q: "What drove the sharp margin recovery in Q4FY26 vs Q3?" → A: "Improved volumes across all categories plus better base oil pricing; Q3 had some timing impact on input costs." | Tone: Transparent
- **Analyst (Motilal Oswal):** Q: "What is the ester fluid revenue share today and target for FY28?" → A: "We do not share specific revenue splits but the Ester5 range is growing at 5x industry; FY28 contribution will be meaningfully higher." | Tone: Hedged
- **Analyst (HDFC Securities):** Q: "How are transformer oil realizations trending given global supply tightness?" → A: "Transformer oil pricing saw sharp improvement in early 2026; we expect stable to improving realizations as power capex accelerates domestically." | Tone: Bullish
- **Analyst (Axis Capital):** Q: "What is the capex plan for next 2 years?" → A: "We will continue to invest prudently in capacity and technology; no specific numbers shared." | Tone: Hedged
- Dodged / Watch-list questions for next quarter: Specific ester fluid revenue share and margin contribution; timeline for Savita GreenTec merger completion; any export contract wins.

9. Risks Flagged

- **Base Oil Volatility Risk:** | Flagged by: Mgmt | Probability: M | Impact: H | Timeline: Near-term | Sustained crude spike above \$90/bbl would compress FY27 margins.
- **Ester Scale-Up Execution Risk:** | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term | Slower-than-expected adoption of ester fluids delays re-rating.
- **Currency / Import Cost Risk:** | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term | INR depreciation raises base oil import cost.
- **T&D; Capex Pace Risk:** | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Long-term | Any government capex slowdown crimps transformer oil demand growth.

10. Analyst Verdict

- Revenue Visibility: INTACT — Management guided double-digit growth; order pipeline from power T&D; capex is strong and visible 12–18 months out.
- Margin Trajectory: INTACT — FY26 confirms OPM recovery is underway; FY27E target of 7% is achievable if base oil costs remain stable.
- Capital Allocation Quality: INTACT — Zero debt, rising dividends, strategic Savita GreenTec merger, E&Y; audit upgrade are all positive signals.
- Competitive Moat: INTACT — 33% domestic transformer oil share with quality-certified products and long utility relationships; no near-term threat to core business.
- Management Credibility: INTACT — FY26 results delivered on the recovery narrative; ester fluid strategy is early-stage but directionally sound.
- Valuation Comfort: INTACT — At 21.5x TTM P/E and 20.7x Fwd P/E, SOTL trades in-line with peers but at significant discount to specialty peers on ROCE; as ROCE expands towards 20%+, multiple re-rating is likely.

- Conviction Call: INCREASED — FY26 beat + volume milestone + guidance upgrade + ester optionality = BUY with increased conviction.
- Valuation Snapshot: P/E = 21.5x (3Y avg ~23x) | EV/EBITDA = 13.0x (3Y avg ~10x) | ROCE = 15.2% (5Y avg ~16%)

This report is for informational and educational purposes only. It does not constitute investment advice. All financial data sourced from Screener.in as of 12 Jun 2026. Forward estimates are analyst projections and carry inherent uncertainty. Please consult a SEBI-registered advisor before investing.